# Robinhood Markets, Inc.

**HOOD** NASDAQ

| Buy | $87.33 ▲ 1.93% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$110.00** | $63.52 – $144.77 | $78.64B |

## HOOD: Crypto Rebound + Cost Discipline = Bullish Setup

### WHAT HAPPENED

- HOOD bounced +1.9% today, recovering after a nasty 3-day slide from $91 down to $84. The catalyst: Q3 earnings call takeaways emphasizing cost discipline (meaning they're keeping expenses in check while growing) plus renewed buzz around Circle's stablecoin earnings — Robinhood is a direct beneficiary of the stablecoin boom since they integrated USDC trading and are building out crypto infrastructure.
- Options flow is screaming bullish — call buyers outnumbering put buyers nearly 3-to-1, with unusual activity at the $87 and $88 strikes expiring this month. Translation: big money is betting HOOD breaks higher in the next 2-3 weeks.

### WHY IT MATTERS

Here's the real story: HOOD is no longer just a meme-stock brokerage — it's morphing into a crypto/fintech hybrid at exactly the moment Washington is legitimizing stablecoins. The GENIUS Act (stablecoin regulatory framework) passed earlier in 2025 created rules of the road, and that's why institutional money is piling in — regulatory clarity means Robinhood can scale crypto revenue without existential legal risk. The cost discipline angle from the earnings call matters more than people realize: if HOOD can hold opex flat while crypto and interest income grow, operating margins expand dramatically — that's the setup for a serious earnings beat cycle in 2027. Watch for: if Bitcoin holds above $90K and trading volumes stay elevated, HOOD's Q4 print could be a blowout.

### POLICY & POLITICAL WATCH

The big one is the stablecoin regulatory framework — now that it's law, Robinhood can offer stablecoin-based products (payments, yield, remittances) with legal certainty, and that's a multi-billion dollar TAM. Also watch the SEC's posture under the current administration — the agency has dramatically softened its crypto enforcement stance versus the Gensler era, which removes the "they might get sued into oblivion" overhang that capped HOOD's multiple for years. The risk on the horizon: any Democratic pushback in the 2026 midterms could reintroduce tougher crypto rules, so the political calendar matters.

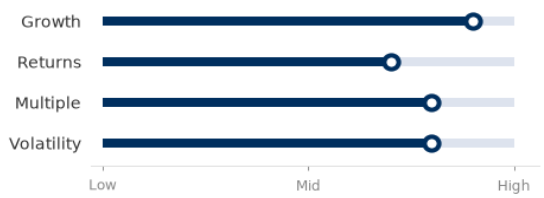
### IS IT EXPENSIVE?

At ~$87 and a $78B market cap, HOOD trades around 47x forward earnings — meaning you're paying $47 for every $1 of profit they'll make next year. That's not cheap, but it's defensible if revenue grows 25%+ and margins expand (which the earnings call suggested is happening). Compared to Coinbase at similar multiples but with WORSE cost discipline and more crypto concentration, HOOD looks like the better risk-adjusted bet in the fintech/crypto space.

### WHAT COULD GO WRONG

| Key Data | |
|---|---|
| Price (USD) | **$87.33** |
| 12M Price Target | **$110.00** |
| Upside / (Downside) | **+26.0%** |
| Market Cap | **$78.64B** |
| FY2026E Revenue | **$4,250M** |
| FY2027E Revenue | **$5,400M** |
| FY2026E EPS | **$1.85** |
| FY2027E EPS | **$2.40** |
| Fwd P/E | **47.2x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500






This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**HOOD** — Robinhood Markets, Inc. | November 04, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$98.00** | $90.00 | **$78.00** |
| 6 Months | **$125.00** | $105.00 | **$70.00** |
| 1 Year | **$150.00** | $110.00 | **$65.00** |
| 2 Years | **$190.00** | $135.00 | **$55.00** |
| 5 Years | **$300.00** | $180.00 | **$45.00** |
| 10 Years | **$500.00** | $275.00 | **$30.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Financials (+2.99% today, +4.93% on the week) — benefiting from the deregulatory push and strong capital markets activity. Consumer Discretionary also ripping, suggesting risk-on sentiment.

**COOLING OFF:** Pure-play crypto exchanges like Coinbase are getting mixed signals — the Trefis "Could Fall 40%" piece shows sentiment is wobbling even as fundamentals are okay.

**ROTATION WATCH:** Money is rotating into "crypto-adjacent" plays that have diversified revenue (HOOD, SQ, PYPL) rather than pure crypto pure-plays. Investors want crypto upside with downside protection from other business lines.

**RELATED PLAY:** If HOOD's crypto thesis works, the stablecoin issuers (CRCL/Circle) and the exchanges (COIN) also benefit — but HOOD is the diversified way to play it. Also watch IBKR for the brokerage comp.

## WHO'S WINNING IN THIS SPACE?

- CRCL (Circle): Riding the stablecoin regulatory tailwind — their earnings showed real revenue traction post-GENIUS Act.
- SQ/XYZ (Block): Fintech + crypto combo play, benefiting from same thematic tailwinds as HOOD.

**HOOD CONTEXT:** HOOD is at 29% of its 52-week range ($63-$144), meaning it's closer to the LOWS than the highs despite a strong business. That's actually bullish setup — the stock has already absorbed significant selling, and the options flow suggests smart money is positioning for a breakout. It's lagging its own fundamentals right now, which is usually when you want to be buying.

## WHAT I'D DO WITH THIS STOCK

### 7/10 Conviction Score

**CONVICTION:** 7/10 — Strong setup with real tailwinds, but crypto exposure means I can't go max conviction.

**POSITION SIZE:** 2-4% of portfolio — enough to matter if it runs, small enough that a crypto crash doesn't wreck you.

**ENTRY POINTS:** Current levels ($85-88) are fine for a starter. Add on pullbacks to $78-82 (which happen regularly given the volatility). Back up the truck under $75.

**TIME HORIZON:** 12-18 months — catalyst is the 2027 earnings power as cost discipline + revenue growth compound.

WHEN TO BAIL: If Bitcoin breaks below $70K sustainably, if monthly active user growth goes negative, or if Congress introduces hostile PFOF legislation — exit immediately.

**HEDGING:** Simplest hedge — keep position size disciplined so you can stomach a 30% drawdown. For active hedgers, buy cheap out-of-the-money puts in volatile months, or pair HOOD long with a smaller COIN short to isolate the "HOOD is better run" thesis.



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